

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics
and Monetary Premium

121.6M

ETH TOTAL SUPPLY

\$2,243

ETH PRICE (USD)

0.1Gwei

BASE GAS FEE

+0.83%/yr

NET SUPPLY GROWTH



SUPPLY CHANGE • 7-DAY SNAPSHOT

ETH Supply Growing at **+0.83%/Year**
with Only **192 ETH** Burned in 7 Days

Issuance vs. Burn — 7-Day (ETH)



+19,638 ETH

7-Day Issuance (PoS Validator Rewards)

192 ETH

7-Day Fee Burn (EIP-1559)

+19,446 ETH

Net 7-Day Supply Change

0.01* Burn offsets only ~1% of issuance

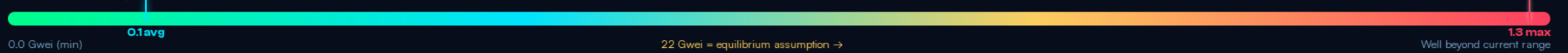
Total supply: **121,603,980 ETH**



EIP-1559 BURN MECHANICS

Base Gas at Historic Lows: 0.1Gwei Average Suppresses Fee Burn

7-Day Gas Price Range (Gwei) — current vs. equilibrium assumption



CURRENT

0.1Gwei

7-day average base fee

REQUIRED

22 Gwei

Equilibrium projection assumption

GAP

220×

below equilibrium target

EIP-4844 BLOB GAS (L2 DATA)

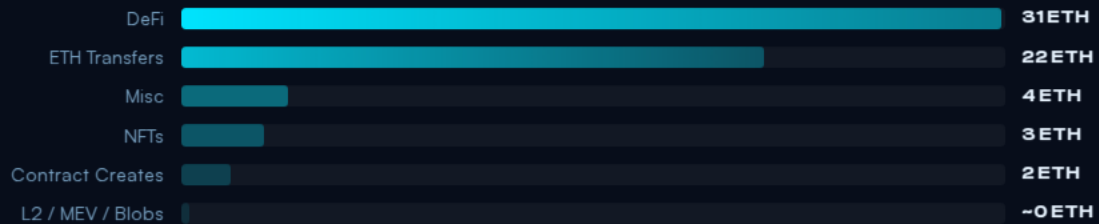
Avg blob gas: **7,144,934 wei** | Total blob fee burn: **0.15 ETH (\$319)** over 7 days**L2 burn ≈ \$0/day effective**

Key insight: Low gas = low burn = temporary supply inflation. The ultra sound money thesis depends on on-chain activity recovery to ~22 Gwei.

FEE BURN BREAKDOWN - 7-DAY

DeFi and ETH Transfers Account for ~85% of Weekly Fee Burn

By Category (ETH burned, 7-day)



Total 7-day burn

~192 ETH

Top Burn Leaderboard (ETH, 7-day)



BLOCK-LEVEL CONTEXT

Recent blocks (e.g., 24,850,874—79) burn **0.00—0.01 ETH/block**. 7-day single-block record: **0.07 ETH**.

Note: L2, MEV, and blob fees contribute effectively **zero burn** at current activity levels.

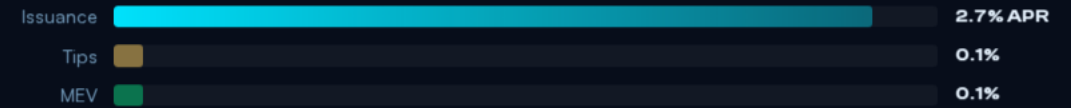
STAKING ECONOMICS • POS VALIDATORS

38.9M ETH Staked at 2.7% Issuance APR with Minimal Tips and MEV

ETH Supply Composition



Validator Annual Reward Composition



~2.9% Total APR

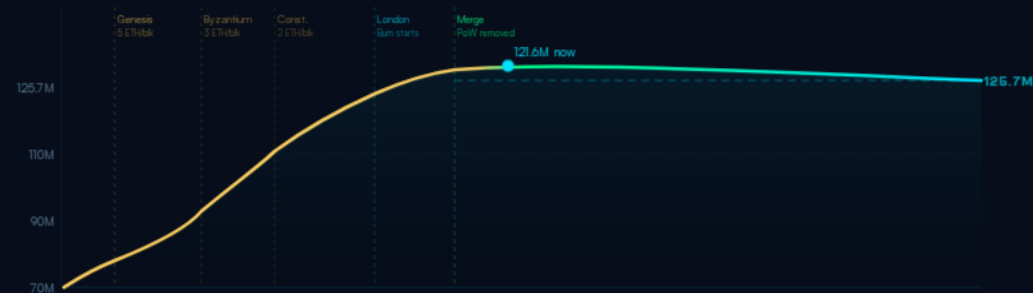
per validator

0.9 ETH/validator from issuance • Tips + MEV minimal at current gas

SCARCITY ENGINE

9.1M ETH locked in staking contracts • avg lock span 10.7 years

Long-Term Equilibrium at 125.7M ETH — Issuance-Burn Balance at 1,037K ETH/year



39METH
STAKED (ASSUMPTION)

22 Gwei
AVG GAS (ASSUMPTION)

2,800
ETH/DAY POS ISSUANCE

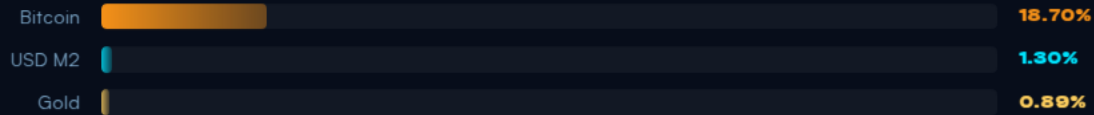
2,200
ETH/DAY BURN (NORMALIZED)

1,037K
ETH/YEAR AT EQUILIBRIUM

MONETARY PREMIUM • FLIPPENING PROGRESS

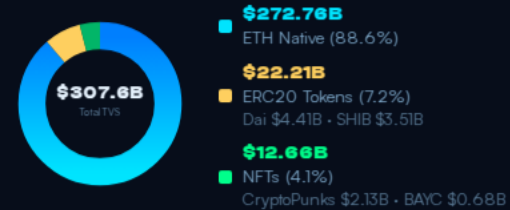
ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

ETH Market Cap as % of Competing Assets



ETH would need to reach **~5.35x** current market cap to achieve full Bitcoin parity.

Total Value Secured on Ethereum



KEY TAKEAWAYS

Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable

- 01 **Currently mildly inflationary at +0.83%/year** — historically low gas fees (avg 0.1 Gwei) keep burn at ~1% of issuance. The deflationary mechanism exists but is dormant.
- 02 **Burn mechanism is structurally sound but activity-dependent** — DeFi and ETH transfers drive 85% of current burn (192 ETH/7d). Sustained 22 Gwei average is required for equilibrium.
- 03 **38.9M ETH (32% of supply) staked** with avg lock of 10.7 years — creates a structural supply floor and earns validators ~2.9% APR, mostly from issuance at current activity levels.
- 04 **Long-term equilibrium converges to 125.7M ETH** under 39M staked / 22 Gwei assumptions. Supply growth has already flattened dramatically post-merge from the PoW era.
- 05 **\$307.6B TVS and 18.7% of Bitcoin's market cap** — Ethereum's monetary premium is growing but early. The ultra sound money thesis ultimately depends on L1 activity recovery.